

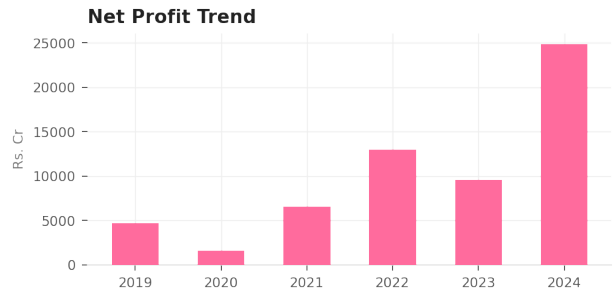
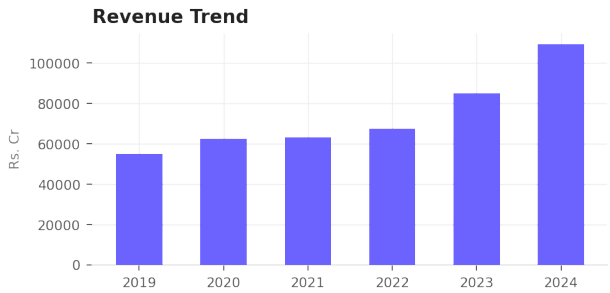
Axis Bank Ltd

AXISBANK | Financials - Private Banks | Large Cap

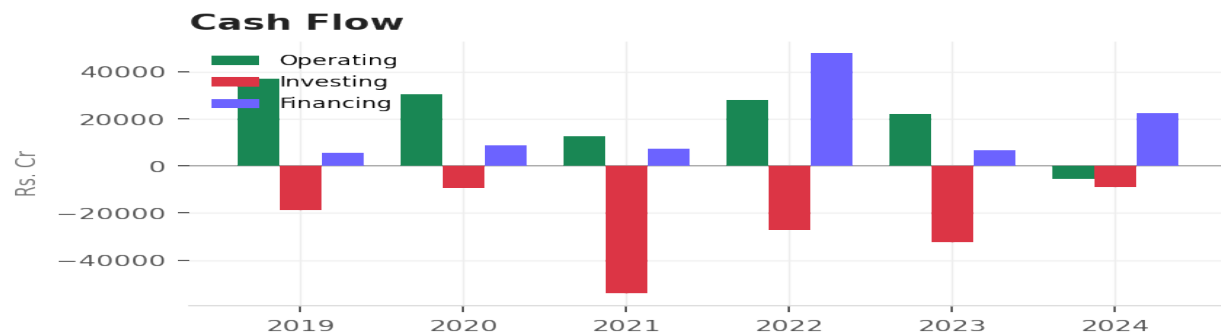
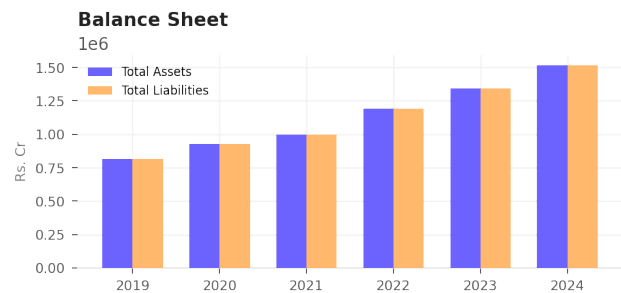
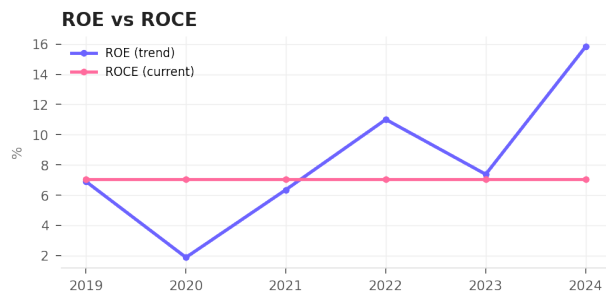
15.8%	7.1%	8.25x	38.1x	2.3%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Axis Bank Ltd - Financial Trends



Pros

- + Company maintains a strong operating margin of 34.7%. (82% confidence)
- + Company has delivered strong profit growth of 14.5% CAGR over the last 5 years. (65% confidence)
- + Company has delivered strong sales growth of 13.2% CAGR over the last 5 years. (63% confidence)
- + Company has a strong return on equity of 15.8%. (61% confidence)

Cons

- Company carries a high debt-to-equity ratio of 8.25. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -0.21x), an accrual risk. (98% confidence)
- Dividend payout has been low at 1.0% of profits. (94% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)